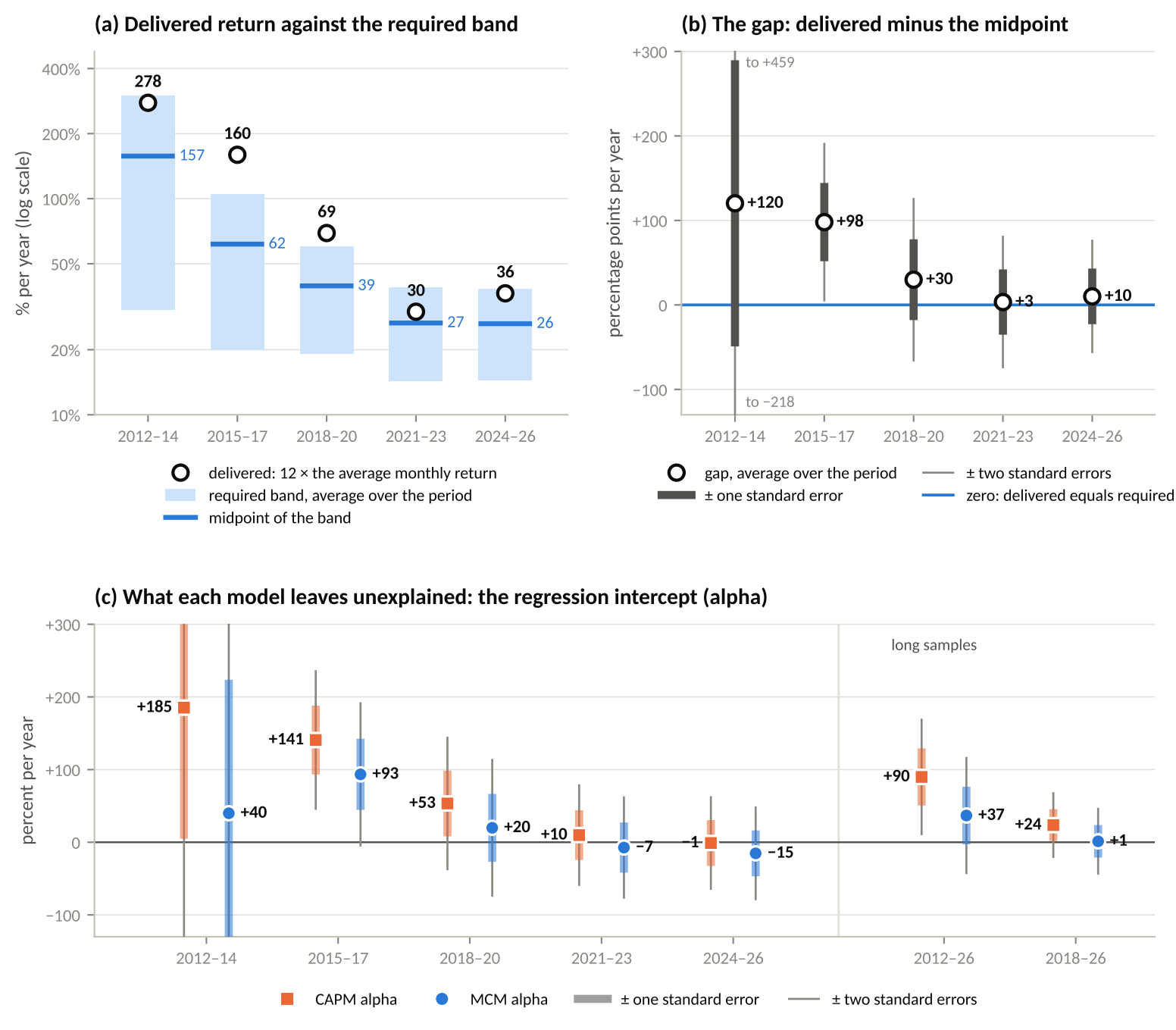
(a) Delivered return against the required band
400%
200%
100%
50%
20%
10%
% per year (log scale)
278
157
160
62
69
39
30
27
36
26
2012–14
2015–17
2018–20
2021–23
2024–26
delivered: 12 × the average monthly return
required band, average over the period
midpoint of the band
(b) The gap: delivered minus the midpoint
+300
+200
+100
0
−100
percentage points per year
to +459
to −218
+120
+98
+30
+3
+10
2012–14
2015–17
2018–20
2021–23
2024–26
gap, average over the period
± one standard error
± two standard errors
zero: delivered equals required
(c) What each model leaves unexplained: the regression intercept (alpha)
+300
+200
+100
0
−100
percent per year
long samples
+185
+40
+141
+93
+53
+20
+10
−7
−1
−15
+90
+37
+24
+1
2012–14
2015–17
2018–20
2021–23
2024–26
2012–26
2018–26
CAPM alpha
MCM alpha
± one standard error
± two standard errors